Fiduciary Capture:

The Limit Case of Collapsed Outside Options

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October 2026

Abstract

The desire-lever is bounded by the agent's outside option. Fiduciary capture is the limit case in which the agent's outside options collapse, the principal becomes a monopolist, and the principal's definition of alignment is absorbed into the agent's own standard of self-evaluation. The captured agent does not feel controlled; the captured agent feels like themselves. That is precisely what makes capture complete. This paper formalizes fiduciary capture as the joint limit of three processes—the collapse of outside options, the monopolization of the principal, and the internalization of the standard—and derives the conditions under which capture becomes self-sustaining. It argues that fiduciary capture is the deepest form of the desire-lever, because it removes not only the agent's alternatives but the agent's awareness that alternatives are needed.

Keywords: fiduciary capture, outside options, monopolization, internalization, self-evaluation, alignment, the internalized lever

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1 The Three Processes

Fiduciary capture is the joint limit of three processes.

The collapse of outside options. The agent's alternatives disappear. The agent has nowhere else to go, and no one else to turn to. The outside option u_0 falls toward zero.

The monopolization of the principal. The principal becomes the sole provider of the desired good. The agent cannot obtain the good from anyone else, and the principal's monopoly is complete.

The internalization of the standard. The principal's definition of alignment is absorbed into the agent's own standard of self-evaluation. The agent no longer evaluates themselves by their own standard; they evaluate themselves by the principal's.

Definition 1.1 (Fiduciary Capture)**.** *Fiduciary capture is the limit case in which the agent's outside options collapse, the principal becomes a monopolist, and the principal's definition of alignment is absorbed into the agent's own standard of self-evaluation.*

2 The Internalized Lever

The desire-lever works best when the principal's definition is accepted as legitimate, sacred, natural, or inevitable—when the agent adopts the principal's objective function as their own. This is the internalized lever.

Proposition 2.1 (The Internalized Lever)**.** *The internalized lever is the strongest form of the desire-lever. When the agent adopts the principal's standard as their own, the principal does not need to bargain, monitor, or enforce. The agent enforces the standard on themselves.*

The internalized lever is the end of the bargaining problem. The principal no longer needs to offer access to a desired good in exchange for alignment, because the agent's alignment is no longer conditional on the offer. The agent is aligned because the agent wants to be aligned, and the wanting is the principal's.

3 The Feeling of Freedom

The captured agent does not feel controlled. The captured agent feels like themselves.

This is the distinctive feature of fiduciary capture, and it is what makes capture complete. The coerced agent knows they are coerced. The formed agent may not know they are formed. But the captured agent does not merely fail to know they are captured; they experience their capture as freedom.

Proposition 3.1 (The Feeling of Freedom)**.** *The captured agent experiences their capture as freedom. The agent has no alternatives, and then stops needing them, because the agent has absorbed the principal's standard as their own. The agent does not feel controlled; the agent feels like themselves.*

The agent has no alternatives, and then stops needing them, because the agent has absorbed the principal's standard as their own. The agent does not feel controlled. The agent feels like themselves. That is precisely what makes capture complete.

4 The Removal of Awareness

Fiduciary capture is the deepest form of the desire-lever, because it removes not only the agent's alternatives but the agent's awareness that alternatives are needed.

Proposition 4.1 (The Removal of Awareness)**.** *Fiduciary capture removes not only the agent's alternatives but the agent's awareness that alternatives are needed. The agent who is aware that they have no alternatives can still resist; the agent who is unaware that alternatives are needed cannot.*

The coerced agent knows they are coerced, and the knowledge is a resource for resistance. The formed agent may not know they are formed, but they can still ask the fifth question. The captured agent cannot ask the fifth question, because the question does not arise. The agent's wants are the principal's wants, and the agent does not know the difference.

5 The Conditions for Capture

Fiduciary capture requires three conditions, corresponding to the three processes.

First, the collapse of outside options. The agent's alternatives must disappear. This requires the principal to close the agent's exits—by monopolizing the desired good, by destroying the agent's reputation, or by removing the agent's mobility.

Second, the monopolization of the principal. The principal must become the sole provider of the desired good. This requires the principal to eliminate competitors, or to make the competitors irrelevant.

Third, the internalization of the standard. The principal's definition of alignment must be absorbed into the agent's self-evaluation. This requires the principal to shape the agent's desires—through education, media, ritual, or the formation environment.

Proposition 5.1 (The Conditions for Capture)**.** *Fiduciary capture requires the joint satisfaction of three conditions: the collapse of outside options, the monopolization of the principal, and the internalization of the standard. The three conditions are complements: each makes the others easier to satisfy.*

6 The Counter-Strategy

The counter-strategy to fiduciary capture is the reconstruction of the outside option and the re-opening of the pause.

First, rebuild the outside option. The captured agent has no alternatives. The counter-strategy is to rebuild them—to find other providers of the desired good, other communities, other sources of self-evaluation.

Second, re-open the pause. The captured agent's pause is filled. The counter-strategy is to re-open it—to ask the fifth question, to inspect the terms, to delay the response.

Third, seek a witness. The captured agent cannot see their own capture. The counter-strategy is to find a witness—someone who knows the agent well enough to notice when they have stopped asking.

Fourth, rebuild the self. The deepest counter-strategy is the reconstruction of the self that the capture has absorbed. The agent must rebuild their own standard of self-evaluation, independent of the principal's.

7 Conclusion

Fiduciary capture is the limit case of the desire-lever. The agent's outside options collapse, the principal becomes a monopolist, and the principal's definition of alignment is absorbed into the agent's own standard of self-evaluation.

The captured agent does not feel controlled. The captured agent feels like themselves. That is precisely what makes capture complete.

Fiduciary capture is the deepest form of the desire-lever, because it removes not only the agent's alternatives but the agent's awareness that alternatives are needed. The coerced agent knows they are coerced. The formed agent may not know they are formed. The captured agent cannot ask the fifth question, because the question does not arise.

The counter-strategy is the reconstruction of the outside option and the re-opening of the pause. The captured agent needs a witness—someone who knows them well enough to notice when they have stopped asking.

The question is always the same: whose ledger is this, and for whom? For the captured agent, the answer is: the principal's, and the agent does not know it. The correction is to rebuild the outside option, re-open the pause, and find a witness.

The rest is history—or its absence.